

CHEROKEE COUNTY, GEORGIA
NOTES TO THE BASIC FINANCIAL STATEMENTS
SEPTEMBER 30, 2025

B. Discretely Presented Component Unit- Development Authority of Cherokee County

	Beginning Balance	Additions	Deductions	Ending Balance
Capital assets, not being depreciated				
Land and land improvements	\$ 12,257,999	\$ 791,593	\$ -	\$ 13,049,592
Construction in progress	2,203,100	1,349,433	-	3,552,533
Total capital assets, not being depreciated	14,461,099	2,141,026	-	16,602,125
Capital assets, being depreciated				
Machinery and equipment	1,150,095	-	-	1,150,095
Less accumulated depreciation for:				
Machinery and equipment	997,267	113,120	-	1,110,387
Total capital assets, being depreciated, net	152,828	(113,120)	-	39,708
Total capital assets, net	\$ 14,613,927	\$ 2,027,906	\$ -	\$ 16,641,833

NOTE 6. LONG-TERM OBLIGATIONS

A. Primary Government

The following is a summary of long-term obligations activity for the year ended September 30, 2025:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Governmental activities:					
Debt:					
Bonds payable	\$ 30,830,000	\$ -	\$ (5,730,000)	\$ 25,100,000	\$ 5,935,000
Add: premiums	162,151	-	(53,505)	108,646	-
Bonds payable, net	30,992,151	-	(5,783,505)	25,208,646	5,935,000
Subscription	1,012,932	350,697	(637,944)	725,685	623,368
Financed purchase	317,796	-	(116,317)	201,479	105,789
Notes payable	2,515,090	-	(578,376)	1,936,714	579,592
Total debt	34,837,969	350,697	(7,116,142)	28,072,524	7,243,749
Other long-term obligations:					
Claims payable	464,467	473,529	(561,682)	376,314	282,236
Compensated absences	25,119,838	3,434,102	(4,848,668)	23,705,272	7,111,582
Landfill postclosure	2,777,880	276,201	(250,703)	2,803,378	349,763
Total other long-term obligations	28,362,185	4,183,832	(5,661,053)	26,884,964	7,743,581
Governmental activities					
Long-term liabilities	\$ 63,200,154	\$ 4,534,529	\$ (12,777,195)	\$ 54,957,488	\$ 14,987,330
Business-type activities:					
Other long-term obligations:					
Compensated absences	\$ 1,623,473	\$ 570,672	\$ (388,829)	\$ 1,805,316	\$ 541,595
Business-type activities					
Long-term liabilities	\$ 1,623,473	\$ 570,672	\$ (388,829)	\$ 1,805,316	\$ 541,595

For governmental activities, claims payable, compensated absences, landfill postclosure costs, pension liabilities, and OPEB liabilities are generally liquidated by the General Fund.

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Legal Debt Margin. The County is subject to a debt limit that is 10% of its total assessed taxable property valuation. At September 30, 2025, that amount was \$2,311,970,349. As of September 30, 2025, the total outstanding debt applicable to the limit was \$25,208,646.

B. Discretely Presented Component Unit – Cherokee County Department of Public Health

Long-Term Obligations. The following is a summary of changes in long-term obligations of the Department for the year ended June 30, 2025:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Compensated absences (1)	\$ 1,575,089	\$ 1,399,011	\$ (1,444,420)	\$ 1,529,680	\$ 917,808
Leases	1,255,681	-	(310,623)	945,058	224,040
Subscription liabilities	-	946,606	(198,075)	748,531	169,410
Total long-term obligations	<u>\$ 2,830,770</u>	<u>\$ 2,345,617</u>	<u>\$ (1,953,118)</u>	<u>\$ 3,223,269</u>	<u>\$ 1,311,258</u>

(1) Restated for implementation of GASB Statement No.101.

C. Discretely Presented Component Unit – Sequoyah Regional Library System

Long Term Obligations. The following is a summary of changes in long-term obligations of the Department for the year ended June 30, 2025:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Compensated absences	\$ 85,382	\$ 262,428	\$ (175,451)	\$ 172,359	\$ 100,373
Total long-term obligations	<u>\$ 85,382</u>	<u>\$ 262,428</u>	<u>\$ (175,451)</u>	<u>\$ 172,359</u>	<u>\$ 100,373</u>

NOTE 7. INTERFUND RECEIVABLES, PAYABLES, AND TRANSFERS

The composition of interfund balances as of September 30, 2025, is as follows:

Receivable Fund	Payable Fund	Amount
General fund	Nonmajor governmental funds	\$ 1,144,623
General fund	Internal Service Funds	935,310
		<u>\$ 2,079,933</u>

These balances resulted from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, and (2) transactions are recorded in the accounting system.